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SECRET:

JAPAN'S FUTURE RELATIONS WITH CHINA.

Points for use in discussion with Mr. Merchant of the State Department.

1. There has not been time to consult the Secretary of State, and the views expressed are thus an official-level view only.

2. We entirely agree with the view expressed in the third paragraphs of Mr. Dulles's telegram about the importance of the United States and ourselves presenting a united front to the Japanese on this important matter.

3. The agreement reached between Mr. Morrison and Mr. Dulles in London in June last was based on the principle that "Japan's future attitude toward China must necessarily be for determination by Japan itself in the exercise of the sovereign and independent status contemplated by the Treaty". (This is taken verbatim from the agreed communique of June 19th, which, by subsequent mutual agreement, was never published as such, but was used by both Governments in giving guidance to the press. It is thus not a formal agreement, but records the clear understanding reached with Mr. Dulles). The conclusion by Japan of any formal agreement with the Chinese Nationalists before the Peace Treaty takes effect would certainly be contrary to this agreement, since Japan would not yet have resumed her sovereign and independent status.

4. The argument underlying this agreement, which we understand to have weighed with Mr. Dulles at the time, was that we must not give Japanese Nationalists in the future a chance to say that Japan's extremely important relations with China have been twisted askew by outside pressure at a time when Japan was still under occupation and not free to resist.

5. A further argument would be that we know Mr. Yoshida is anxious to avoid the responsibility of making a decision about Japan's relations with China, and indeed he has stated publicly

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that this is not his responsibility but that of the Allied Powers - a view diametrically opposite to the Anglo-American understanding on which the whole San Francisco Peace Settlement was based. It would be a great mistake for the Americans now to decide to play into Yoshida's hands over this.

6. Both the two preceding arguments already apply to the United States Defence Pact which, contrary to our advice, was concluded before Japan emerged from the occupation stage. The Americans are going to have enough trouble on this count alone, and it would be a pity to follow a similar procedure in regard to the equally explosive subject of Sino-Japanese relations.

7. Once the Peace Treaty has come into effect, if Japan freely decides to make some formal agreement with the Chinese Nationalists, in respect of the territory which they control de facto, it would be contrary to the spirit of the agreement reached with Mr. Dulles for us to object to this, even though in fact we have always maintained that Japan's best interest would be served by her continuing to sit on the fence and not cut herself off from either of the two "Chinas".

8. The United States' argument (paragraph 2 of Mr. Dulles's telegram in Mr. Ringwalt's letter of the 12th November), namely, that the Peace Treaty with the Chinese Nationalists should "be operative within the de facto authority of that Government... as the voting member of the United Nations in which, and in organs of which, Japan seeks membership" is obscure, and we should try to elucidate it.

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9. Japan must trade with mainland China if she is to become viable. Otherwise the burden of keeping her going may fall indefinitely on the United States taxpayer.

Recommendation /

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Recommendation.

10. That the above points be put to Mr. Merchant, with the suggestion that:

(a) Mr. Dulles and his colleagues should be advised of the pitfalls in the way of any action with Mr. Yoshida, before the Treaty comes into effect, which could later be represented, or misrepresented, as pressure amounting to force majeure in determining Japan's future relations with China.

(b) The arguments summarised in paragraphs 4 and 9 above might be used in answering any Senatorial objections to ratification of the Peace Treaty in advance of Japan committing herself to recognition of the Chinese Nationalists.

C.H. Johnston

(C.H. Johnston)

13th November, 1951.

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